# Final Project: Skyline Capital Partners Strategic Investment

## Case Summary:

Skyline Capital Partners is expanding its multi-family residential real estate portfolio and is evaluating opportunities to develop a new Class B apartment building in one of three cities. The firm has identified Fairview, New Hope and Springfield as potential markets for this development.

The market research team at Skyline has gathered historical data on multi-family properties in each city, covering trends in rental income, vacancy rates, operating expenses, and profitability.

You have been engaged as an investment analyst to determine (1) which city represents the strongest opportunity for development and (2) the optimal unit mix for a new building in that market.

Skyline Capital is particularly focused on risk-aware, data-driven decision-making. The firm would like a recommendation based on both expected returns and risk exposure across the three cities. The firm is interested in understanding key risk drivers in each market and how they compare across locations. Your final analysis should include a recommendation on market selection and the optimal unit mix for a new building, along with any other relevant insights on risk, sensitivity analysis or other financial considerations.

## Materials:

**Posted on Blackboard**

- CRE_data.xls data file and profitability model
- CRE_data documentation
- Skyline Investment Modeling Assumptions memo

## Deliverables:

**"Leave behind" slide deck due on Blackboard Friday, March 6 @ 11:59 PM**

Your slides should include:

- **Section 1: Market Selection Analysis.** Evaluate the historical data across the three cities and make a recommendation for which market presents the strongest opportunity for this kind of investment. Consider analytical questions such as:
    - How have properties performed in terms of Net Operative Income, Vacancy, Rent Growth, Operating Expenses, and Equity Growth?
    - What risk factors affect profitability in each market
    - What trade-offs exist between high-return and high-risk markets?
- **Section 2: Simulation-Based Unit Mix Optimization.** Determine the optimal mix of Studio and 1-Bedroom apartments for a new Class B apartment building in the city that you identified in Section 1.
    - To help in your model design and specification, Skyline's internal market research team has prepared a memo outlining key project parameters. These include: details on the new building's planned size and floor space, assumptions for future operating costs, and a structured approach to modeling market demand.

Guidelines for slide deck:

- **Title slide**: Your name, title of presentation, date, etc.
- **Main presentation**: Main presentation slides should contain your analysis, visualizations, and key findings in response to the Skyline's objectives. 8 to 12 slides is a guideline (not a fixed requirement) for your main presentation.
- **Appendix Slides (Optional)**: If included, use Appendix slides to present technical details or supplementary information about the analysis shown in the main slides. These can be referenced by Skyline's stakeholders for further clarification or deeper understanding of your methodology.

## Gen AI Policy

- You may use ChatGPT or other AI tools to help you perform your analysis, modeling, and/or to draft your slide deck.
- On one or two slides in the Appendix of your slide deck, please describe how used Gen AI for in your work. A few bullet points are sufficient.

## Grading

- Market Selection Analysis – 30 points
- Simulation-Based Unit Mix Optimization Modeling – 30 points
- Risk awareness and effectiveness of including risk-related factors in analysis and recommendations – 20 points
- Overall presentation quality and effectiveness of visualization and communication – 20 points